

Alphabet Inc.

GOOGL NASDAQ

Buy

\$344.54 ▲ 0.64%

12M Price Target
\$385.00

52-Week Range
\$235.84 – \$408.61

Market Cap
\$4.21T

GOOGL: Space Data Centers and TPU Moat Widen the Story

WHAT HAPPENED

- Stock bouncing back (+0.64%) after a rough Tuesday where it dropped almost 4%. The rebound is riding on two things: (1) news that Google's launching a mini data center into SPACE next week as part of "Project Suncatcher" — solar-powered TPUs in orbit, sounds sci-fi but it's a real answer to the power bottleneck everyone in AI is hitting, and (2) broader tech sector strength (+1.10% today).
- The scarier headline in the background: Oracle filed a "force majeure" notice on some AI contracts (basically saying "we can't deliver because circumstances outside our control"). That's spooking the market about whether AI capex spending is sustainable — but Alphabet is actually the winner here because they build their own chips (TPUs) instead of depending on Nvidia supply like ORCL does.

WHY IT MATTERS

The Suncatcher space data center thing sounds gimmicky but the underlying message matters: Alphabet is telling investors they've thought through the power problem that's about to strangle everyone else's AI ambitions. That's a real competitive moat because US data center power demand is projected to consume grid capacity faster than utilities can build it. Meanwhile the Oracle "force majeure" story is a canary in the coal mine for AI infrastructure names that OVER-promised — expect capital to rotate FROM speculative AI infra names INTO the hyperscalers who actually generate cash (GOOGL, MSFT, META). Options flow confirms this: put/call ratio of 0.34 is aggressively bullish, and someone bought 11,578 near-the-money calls expiring this week — that's not retail, that's institutional positioning into something.

POLICY & POLITICAL WATCH

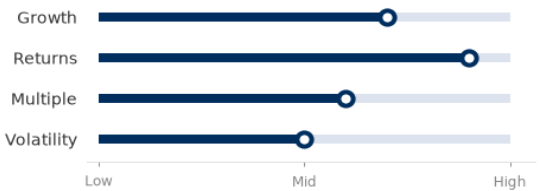
The big overhang — the DOJ antitrust case on Search — has quietly become less scary; the remedy phase looks headed toward behavioral fixes (data sharing, default search choices) rather than a forced breakup of Chrome or Android, which is a huge relief. Watch the Trump administration's AI Action Plan and the pending "AI Diffusion Rule" revisions — the current White House is leaning toward loosening chip export restrictions and treating AI leadership as a national security priority, which favors US hyperscalers that can be trusted allies for federal cloud contracts (JWCC contract is the one to watch). On the flip side, the EU Digital Markets Act keeps racking up fines — expect another €1-3B headline sometime in Q4, but that's now priced in and small vs. Alphabet's \$100B+ annual cash flow.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$344.54
12M Price Target	\$385.00
Upside / (Downside)	+11.7%
Market Cap	\$4.21T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.60
Fwd P/E	35.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$430.00	\$385.00	\$290.00
2 Years	\$500.00	\$425.00	\$275.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.10% today, +3.95% for the week) — AI infrastructure narrative is back after last week's wobble, and the current administration's pro-tech, pro-AI-dominance stance is providing a policy tailwind. Industrials also perking up on infrastructure spending.

COOLING OFF: Financials (-1.55% over 5 days) — rate cut expectations getting pushed out is compressing net interest margins. Consumer Staples flat/down as defensive money rotates OUT and into growth.

ROTATION WATCH: Money is clearly moving from speculative AI infra (Oracle-type names getting hit on the force majeure headline) into the profitable hyperscalers that print cash. That's a direct tailwind for GOOGL, MSFT, and META.

RELATED PLAY: If the "own your own chips" narrative gains traction, watch Broadcom (AVGO) — they make custom silicon for Google's TPUs and are a picks-and-shovels way to play the same theme.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king, but starting to hear "peak dependency" chatter as hyperscalers build their own chips
- META (Meta Platforms): Riding AI ad-targeting improvements + Reality Labs finally showing traction

GOOGL CONTEXT: Alphabet has been a LAGGARD among Mag 7 for most of 2025 due to antitrust fear, but that discount is now closing. It's the "catch-up trade" within the group — if you missed the NVDA/META run, this is where relative value lives.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$335-342 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Cloud growth decelerates below 25% YoY, or DOJ forces Chrome/Android divestiture

Hedging: Long-dated puts or pair with short position in a richly-valued AI infra name (e.g., ORCL)